الجامعة العربية المفتوحة - مصر
Arab Open University
القبول والتسجيل
الامتحانات
Arab Republic of Egypt

AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

HRM215
Compensation and Benefits

Mid Term Examination / Version B
2025-2026 / Spring

21 – April – 2026

Number of Exam Pages: 2 (including this cover sheet)	**Time Allowed: 1.5 Hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones durin examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Che Policy.

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Question 1 (30 Marks)

Alpha Company introduced a ***merit pay plan*** to reward employees with ***permanent salary increases*** based on job performance. Performance is evaluated annually by supervisors usin set performance standards. High-performing employees receive pay increases expressed as a percentage of their salary. However, some employees believe the standards are unclear and that the pay increases are too small to motivate better performance.

A. Identify ***two problems*** with Alpha Company's merit pay plan. **(10 marks)**

B. suggest ***one improvement*** for each. **(10 marks)**

C. Explain how improving the ***performance appraisal process*** could help Alpha Company achieve the main objectives of its merit pay plan. **(10 marks)**

Question 2 (20 Marks)

"Incentive pay can motivate employees, but it may also encourage unwanted behaviors Critically analyze this statement, using ***advantages*** and ***disadvantages*** of individual incenti plans.

Question 3 (50 Marks)

Horizontal, vertical, and depth of skills are central concepts in person-focused pay.

A. Explain the differences among these skill types. Provide an example for each type of skill **(30 marks)**

B. Evaluate their importance in modern organizations. **(20 marks)**

END OF QUESTIONS

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